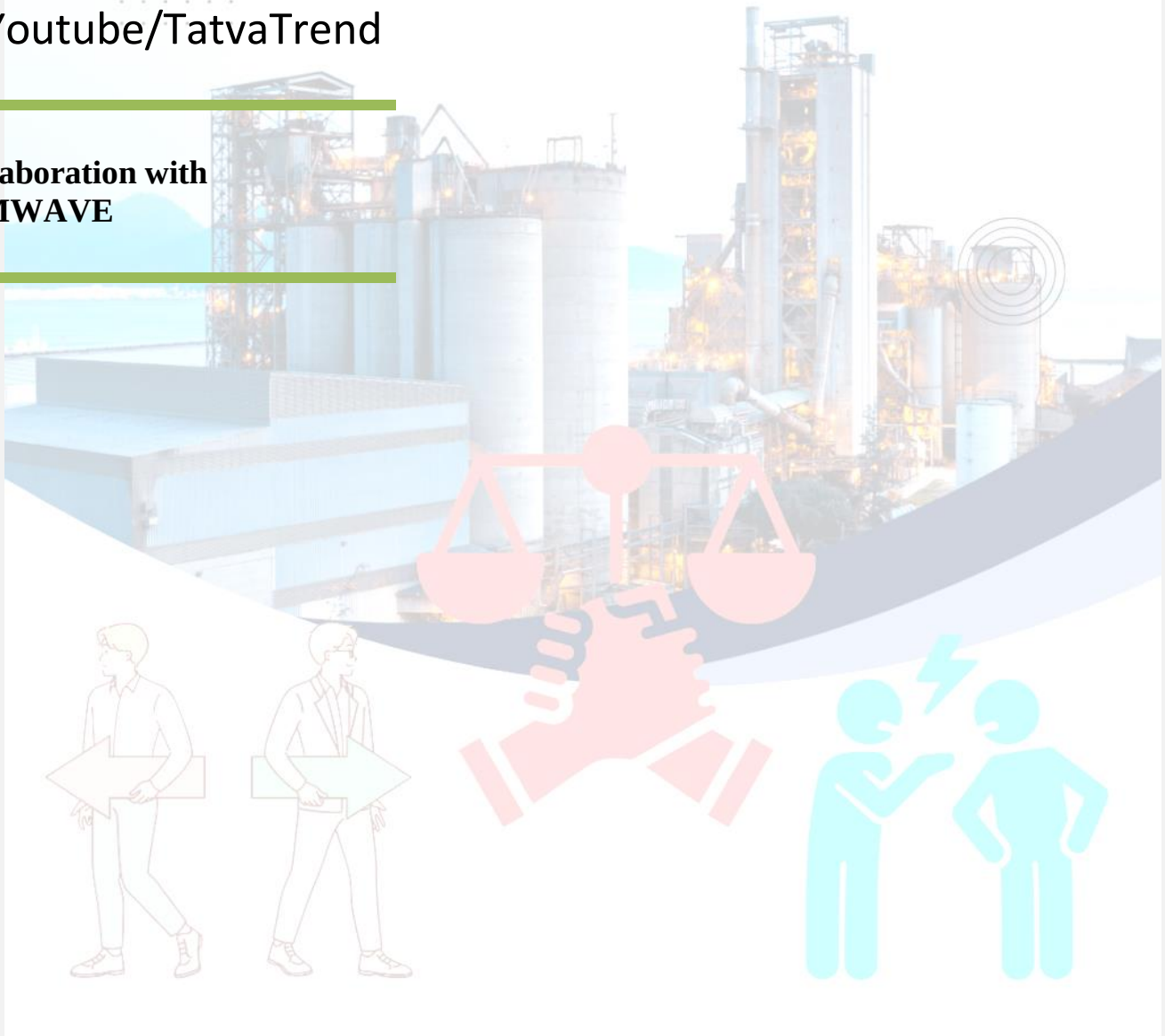


Labour Laws Codes & Social security



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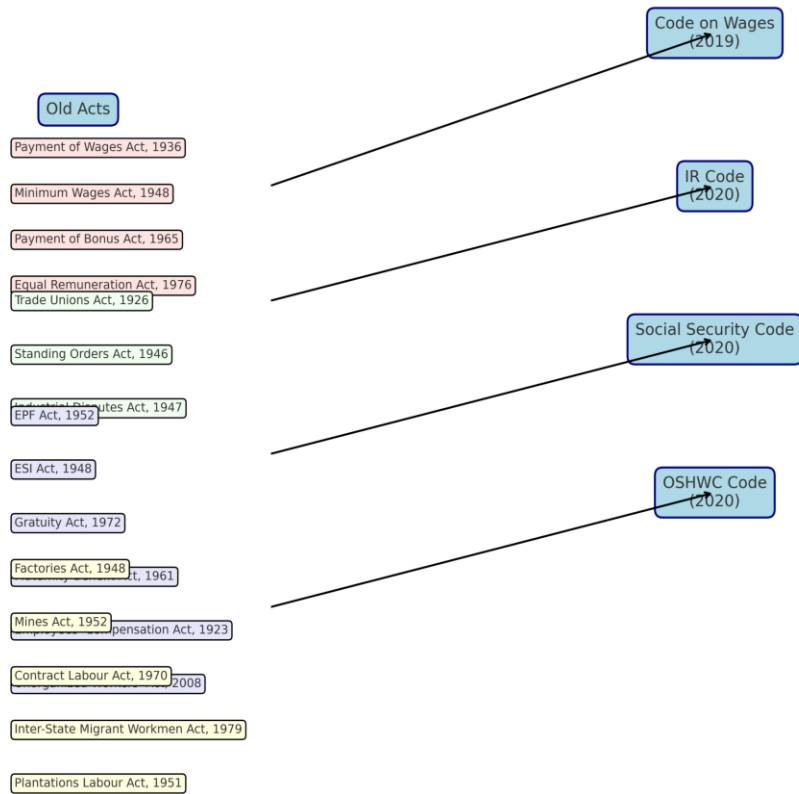
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Chapter 1: Introduction to Labour Laws in India

1.1 Historical Background

Labour laws in India have their roots in the colonial era. The earliest legislations, such as the **Factories Act, 1881**, were primarily enacted to regulate working hours and protect the health of British workers employed in Indian industries. Over time, more laws were added, particularly after World War I, to address working conditions, wage payments, and social security.

Post-independence, labour legislations became a key instrument for achieving **social justice**, as enshrined in the **Directive Principles of State Policy** (Articles 38, 39, 41, 42, 43 of the Indian Constitution). The Indian State took upon itself the responsibility of ensuring **just and humane conditions of work, fair wages, and social security** for workers.

1.2 Growth of Labour Laws in India

The development of labour laws took place in phases:

1. **Pre-Independence Era (1881–1947):**
 - Focus on basic protection, e.g., **Factories Act, 1881, Trade Unions Act, 1926, Payment of Wages Act, 1936, and Industrial Disputes Act, 1947.**
 - Objective: Prevent exploitation and control labour unrest.
 2. **Post-Independence Expansion (1947–1990):**
 - Emphasis on **social security and welfare.**
 - Laws like **Employees' State Insurance Act, 1948, EPF Act, 1952, Maternity Benefit Act, 1961, Payment of Gratuity Act, 1972.**
 - Objective: Balance between industrial growth and workers' rights.
 3. **Liberalization Era (1991 onwards):**
 - Shift towards **economic reforms and globalization.**
 - Concerns about rigid labour laws discouraging investment and formal job creation.
 - Push for simplification and consolidation of laws.
-

1.3 Problems with the Old System

- **Multiplicity of Laws:** More than **29 central labour laws** + many state laws created **overlap and confusion**.
 - **Complex Compliance:** Different registers, returns, and inspectors under different Acts.
 - **Different Definitions:** For example, the term “**wages**” was defined differently in the Payment of Wages Act, EPF Act, Bonus Act, and Gratuity Act.
 - **Limited Coverage:** Many laws applied only to organized sector workers or those below certain wage ceilings.
 - **Inspector Raj:** Excessive discretionary powers with labour inspectors created red tape and corruption.
-

1.4 The Need for Reform

The **Second National Commission on Labour (2002)** recommended consolidation of labour laws into 4–5 broad codes. The key reasons were:

- To **simplify compliance** for employers.
 - To **provide wider protection** for workers, especially in the unorganized and gig economy.
 - To **promote ease of doing business** and reduce litigation.
 - To **harmonize definitions** and establish uniform standards.
-

1.5 Introduction of the New Labour Codes

In line with the recommendations, the Government of India introduced four new labour codes:

1. **Code on Wages, 2019**
2. **Industrial Relations Code, 2020**
3. **Social Security Code, 2020**
4. **Occupational Safety, Health & Working Conditions Code, 2020**

These four codes consolidate **29 existing central labour laws** and represent the biggest reform in Indian labour legislation in over 70 years.

Summary Point:

Labour laws in India evolved from **fragmented, colonial-era legislations** to **comprehensive modern codes**. The shift aims to balance **worker welfare with economic growth**, simplify compliance, and extend social security to the unorganized sector.

Chapter 2: Major Old Labour Laws

Before the introduction of the four labour codes (2019–2020), India had a **complex web of 29 central labour laws** dealing with wages, industrial relations, social security, and occupational safety. These Acts were framed at different points of time, with differing objectives, definitions, and compliance mechanisms.

For better understanding, the old laws can be grouped into four major categories:

2.1 Wage-Related Laws

1. Payment of Wages Act, 1936

- **Objective:** To ensure **timely payment of wages** without unauthorized deductions.
- **Applicability:** Covered workers earning up to ₹24,000/month.
- **Key Provisions:**
 - Wages must be paid within **7 days** (if <1000 workers) or **10 days** (if ≥1000 workers).
 - On termination, wages to be paid within **2 working days**.
 - Deductions cannot exceed **50% of wages** (75% in case of cooperative society loans).
 - Maximum fine: **3% of wages** in a wage period.

Exam Point: “Time limit for wage payment in establishments with 1000+ employees = 10 days.”

2. Minimum Wages Act, 1948

- **Objective:** To prevent exploitation and ensure a **basic minimum standard of living**.
- **Applicability:** Applied only to **scheduled employments** notified by government (e.g., agriculture, mining, construction).
- **Key Provisions:**
 - Appropriate government fixes minimum wages for scheduled employments.
 - Minimum wages must be **revised every 5 years**.
 - Overtime = **double the ordinary wage rate**.
 - Wages include **basic + DA + HRA** but exclude PF, gratuity, allowances.

Exam Point: Overtime under Minimum Wages Act = **2 times the regular rate.**

3. Payment of Bonus Act, 1965

- **Objective:** To provide workers a **statutory share in profits.**
- **Applicability:** Applied to establishments with **20+ employees.**
- **Eligibility:** Employees earning up to **₹21,000/month.**
- **Key Provisions:**
 - Minimum bonus = **8.33% of salary** (basic + DA).
 - Maximum bonus = **20% of salary**, depending on profits.
 - “Set-on” and “set-off” provisions for adjusting bonus across years.

Exam Point: Salary ceiling for bonus eligibility = **₹21,000/month.**

4. Equal Remuneration Act, 1976

- **Objective:** To ensure **equal pay for equal work** irrespective of gender.
- **Key Provisions:**
 - No gender-based discrimination in **recruitment, wages, or promotions.**
 - Advisory committees for employment of women in certain industries.

Exam Point: Based on Article 39(d) of the Constitution – Equal pay for equal work.

2.2 Industrial Relations Laws

1. Trade Unions Act, 1926

- Legal recognition to trade unions.
 - Minimum 7 members needed for registration.
 - 50% of office bearers must be employed in the industry.
 - Political funds allowed but voluntary.
-

2. Industrial Employment (Standing Orders) Act, 1946

- Required employers (100+ workers) to define service conditions in writing.
- Covered matters like classification of workers, attendance, misconduct, leave, etc.

3. Industrial Disputes Act, 1947

- **Objective:** To provide machinery for settlement of industrial disputes.
- **Key Provisions:**
 - Defined terms like “strike,” “lockout,” “layoff,” “retrenchment.”
 - Authorities: Works Committee, Conciliation Officer, Labour Courts, Tribunals.
 - Retrenchment compensation = **15 days’ wages for every completed year of service.**
 - Strikes/lockouts in public utility services require **14 days’ prior notice.**

Exam Point: Retrenchment compensation formula often asked in EPFO.

2.3 Social Security Laws

1. Employees’ Compensation Act, 1923

- Employer liable to compensate workers for injuries/death “arising out of and in the course of employment.”
 - Introduced principle of “**no-fault liability.**”
 - Compensation for death = **50% of monthly wages × relevant factor (age).**
-

2. Employees’ State Insurance (ESI) Act, 1948

- Provides **medical care, sickness, maternity, and disability benefits.**
 - Applicable to factories/establishments with **10+ employees.**
 - Funded by contributions from employer (3.25%) and employee (0.75%).
-

3. Employees’ Provident Fund (EPF) Act, 1952

- Provides retirement savings, pensions, and life insurance.
 - Applicability: Establishments with **20+ employees.**
 - Contributions: **12% of wages** by both employer and employee.
-

4. Maternity Benefit Act, 1961

- Provides maternity leave and benefits.
 - 26 weeks paid leave (for 2 surviving children), 12 weeks otherwise.
 - Prohibits dismissal during maternity period.
-

5. Payment of Gratuity Act, 1972

- Provides gratuity after **5 years of continuous service**.
 - Payable on retirement, resignation, or death.
 - Formula: **15 days' wages × years of service**.
 - Max gratuity ceiling = **₹20 lakh**.
-

2.4 Occupational Safety & Welfare Laws

- **Factories Act, 1948** – Health, safety, welfare, and working hours in factories.
 - **Mines Act, 1952** – Safety in mines.
 - **Contract Labour (Regulation & Abolition) Act, 1970** – Regulated contract labour, abolished in certain cases.
 - **Inter-State Migrant Workmen Act, 1979** – Protected migrant workers' rights.
-

Summary Point:

The old framework was **fragmented** with separate Acts for wages, industrial relations, social security, and safety. While protective, it created **overlapping compliance burdens** and excluded a large section of unorganized workers. This paved the way for **consolidation into the new labour codes**.

Chapter 3: The Four New Labour Codes

To simplify India's complex labour law framework, the Government consolidated **29 central labour laws** into **4 Labour Codes**. These Codes were passed between **2019–2020**, but are **yet to be implemented** (pending notification). They aim to balance **workers' welfare with ease of doing business**.

3.1 Objectives of the Labour Codes

- **Simplification:** Replace multiple overlapping Acts with 4 codes.
 - **Uniformity:** Standard definitions (e.g., “wages” has a single definition).
 - **Wider Coverage:** Extend protection to unorganized, gig, and platform workers.
 - **Ease of Compliance:** Online registration, returns, and inspections.
 - **Worker Welfare:** Guarantee minimum wages, social security, and safe working conditions.
-

3.2 The Four Labour Codes

1. Code on Wages, 2019

Acts Subsumed:

- Payment of Wages Act, 1936
- Minimum Wages Act, 1948
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976

Key Features:

- **Universal Coverage:** Applies to all employees, regardless of industry or wage ceiling.
- **Uniform Definition of Wages:** Includes basic pay + dearness allowance + retaining allowance. Exclusions (HRA, overtime, bonus, etc.) cannot exceed **50% of total pay** → beyond this limit, excess counts as wages.
- **National Floor Wage:** To be fixed by the Central Government; states cannot set wages lower than this.
- **Equal Remuneration:** Ensures no gender discrimination in wages.

- **Bonus:** Still applies only to employees earning $\leq ₹21,000/\text{month}$, but law itself is universal.

Example: Earlier, a small coaching center was not covered under Minimum Wages Act (since not in “scheduled employment”). Now, under the Wage Code, it must pay minimum wages to all staff.

2. Industrial Relations (IR) Code, 2020

Acts Subsumed:

- Trade Unions Act, 1926
- Industrial Employment (Standing Orders) Act, 1946
- Industrial Disputes Act, 1947

Key Features:

- **Trade Unions:** Recognition of a single negotiating union if it has 51% membership; or a negotiating council if multiple unions exist.
- **Standing Orders:** Mandatory for establishments with **300+ workers** (earlier 100). Covers service conditions like classification of workers, misconduct, leave.
- **Lay-off/Retrenchment/Closure:** Prior permission required only if 300+ workers (earlier 100).
- **Dispute Resolution:** Tribunal award to be binding within **30 days**.
- **Strikes & Lockouts:** 14-day prior notice mandatory in all establishments (earlier only in public utilities).

Example: A factory with 250 workers can now retrench workers without government approval, easing employer flexibility.

3. Code on Social Security, 2020

Acts Subsumed (9 Acts):

- EPF Act, 1952
- ESI Act, 1948
- Maternity Benefit Act, 1961
- Payment of Gratuity Act, 1972
- Employees' Compensation Act, 1923

Labour Laws Codes & Social security

- Cine Workers' Welfare Fund Act, 1981
- Unorganized Workers' Social Security Act, 2008, etc.

Key Features:

- **Universal Social Security:** Extends to unorganized sector, gig workers (e.g., Ola/Uber drivers), and platform workers (e.g., Swiggy, Zomato).
- **EPF & ESI:** Continue for formal sector; provisions may extend to new categories.
- **Gratuity:** Payable even for **fixed-term employees** after 1 year (earlier 5 years).
- **Maternity Benefit:** Same provisions, included within the Code.
- **National Database:** Aadhaar-based registration of all workers on a central portal.
- **Funding:** Gig/platform workers' welfare funds through contribution by employer/aggregator + government.

Example: A Swiggy delivery partner, previously outside social security laws, will now be eligible for social security benefits.

4. Occupational Safety, Health & Working Conditions (OSHC) Code, 2020

Acts Subsumed (13 Acts):

- Factories Act, 1948
- Mines Act, 1952
- Contract Labour Act, 1970
- Inter-State Migrant Workers Act, 1979
- Plantations Labour Act, 1951, etc.

Key Features:

- **Applicability:** Factories with 20 workers (if using power) or 40 workers (without power).
- **Single License:** Establishments can obtain one common license for factory, contract labour, and migrant workers.
- **Working Hours:** Maximum **8 hours/day, 48 hours/week**.
- **Women Employment:** Women can work in all establishments, even at night (with safety measures).
- **Inter-State Migrant Workers:** Definition expanded – includes workers earning up to ₹18,000/month who migrate for work.
- **Free Annual Health Check-up:** For workers above a certain age.

Example: Earlier, an establishment needed separate licenses under Factories Act, CLRA, ISMW. Now, only one **single license** is required.

3.3 Significance of the Labour Codes

- **For Workers:** Wider coverage, minimum wage guarantee, social security for gig/unorganized workers, safer working conditions.
 - **For Employers:** Simplified compliance, reduced inspections, flexibility in hiring/termination.
 - **For Economy:** Promotes ease of doing business, reduces litigation, boosts investment climate.
-

Summary Point:

The **Wage Code, IR Code, Social Security Code, and OSHWC Code** consolidate 29 Acts into 4 broad laws. They harmonize definitions, expand worker protection, simplify compliance, and align India's labour regime with global standards.

Chapter 4: Comparison – Old vs New Labour Laws

The biggest change in India's labour policy has been the **consolidation of 29 central labour laws into 4 comprehensive labour codes**. This chapter highlights the differences in **structure, coverage, compliance, and worker protection**.

4.1 Need for Comparison

- The **old regime** was **fragmented** with multiple Acts, leading to **confusion, overlapping provisions, and Inspector Raj**.
 - The **new regime** aims at **simplification, digitization, and wider worker coverage**.
 - Understanding these differences is crucial for exams like **UPSC EPFO**, where both factual and analytical questions are asked.
-

4.2 Comparative Analysis

Aspect	Old Labour Laws (29 Acts)	New Labour Codes (4 Codes)
Structure	29 separate Acts with overlapping provisions (Wages, Bonus, Gratuity, ESI, PF, etc.)	Consolidated into 4 Codes (Wages, Industrial Relations, Social Security, OSHWC)
Definition of Wages	Different across Acts (e.g., PF Act, Bonus Act, Gratuity Act all had different definitions)	Uniform definition of wages (Basic + DA + Retaining Allowance; exclusions capped at 50%)
Coverage	Restricted by wage ceilings and “scheduled employments”	Universal coverage – applies to all employees, incl. gig and platform workers
Minimum Wages	Only for scheduled employments under Minimum Wages Act, 1948	Applies to all employments , with a National Floor Wage

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Aspect	Old Labour Laws (29 Acts)	New Labour Codes (4 Codes)
Bonus	Only for employees earning $\leq$ ₹21,000/month	Still has ceiling for eligibility, but coverage of law is universal
Social Security	Only for organized sector (EPF, ESI, Gratuity, Maternity, etc.)	Extended to unorganized, gig, and platform workers ; Aadhaar-based registration
Industrial Relations	Trade Unions Act, Standing Orders, and Industrial Disputes Act separately governed unions, disputes, layoffs	IR Code, 2020 consolidates – raises threshold for Standing Orders (100 $\rightarrow$ 300 workers), regulates strikes/lockouts
Compliance	Multiple registrations, returns, registers, and inspections under different Acts	Single online registration, one return, web-based inspection system
Women Employment	Many restrictions on women working at night in factories/mines	Women allowed in all sectors, including night shifts, with safety measures
Inter-State Migrant Workers	Only workers recruited through contractors under ISMW Act, 1979	Broader definition – includes any migrant earning $\leq$ ₹18,000/month
Ease of Doing Business	Cumbersome, high compliance cost, Inspector Raj	Simplified compliance, self-certification, transparent inspections
Worker Protection	Strong but fragmented, often left unorganized sector uncovered	Wider protection, modern definitions, digital coverage of workers

4.3 Key Changes in Each Code

- **Code on Wages, 2019:**
 - Removes wage ceiling restrictions.
 - Introduces uniform wage definition.
 - Ensures national floor wage.
- **Industrial Relations Code, 2020:**
 - Simplifies trade union recognition.
 - Raises threshold for prior approval in retrenchment/closure.
 - Mandatory strike notice for all industries.
- **Social Security Code, 2020:**
 - Covers unorganized and gig/platform workers.
 - Gratuity available to fixed-term employees.
 - National social security board for policy coordination.
- **OSHC Code, 2020:**
 - One license for factory, contract labour, and migrant workers.
 - Standardized working hours (8/day, 48/week).
 - Women can work in night shifts with safety.

4.4 Exam-Oriented Pointers

- Old system = **29 Acts**, New system = **4 Codes**.
- Uniform definition of “wages” introduced for the first time.
- Standing Orders threshold increased from **100 to 300** workers.
- Social security extended to **gig and platform workers**.
- National Floor Wage = Key feature of Wage Code.
- **Inspector Raj** → **Inspector-cum-Facilitator** (digital, randomized inspections).

Summary:

The **Old Labour Laws** were fragmented, limited in coverage, and complex in compliance. The **New Labour Codes** consolidate them into 4 broad areas, ensuring **universal worker protection, simplified compliance, and a balance between welfare and business needs**.

Chapter 5 Important Old Labour Laws (Detailed Explanation)

1. Payment of Wages Act, 1936

Objective: To ensure **timely payment of wages** and prevent unauthorized deductions.

Key Provisions:

- **Applicability:** Workers earning up to **₹24,000/month**.
- **Time Limits for Payment:**
 - ≤ 1000 workers → within **7 days** of wage period.
 - 1000 workers → within **10 days**.
 - On termination → within **2 working days**.
- **Deductions Allowed:** Only for fines, absence from duty, recovery of loans, etc.
- **Ceiling on Deductions:** Cannot exceed **50% of wages** (75% if cooperative society loan recovery).
- **Fine Limit:** Cannot exceed **3% of wages** in a wage period.

Exam Pointer: Time limit for payment = **7/10 days rule**.

2. Minimum Wages Act, 1948

Objective: To prevent exploitation by guaranteeing a **minimum wage** for workers.

Key Provisions:

- **Applicability:** Only to **scheduled employments** notified by govt. (agriculture, mines, construction, etc.).
- **Fixation:** Appropriate government fixes minimum wages → must revise **every 5 years**.
- **Overtime Wages:** Payable at **2x ordinary rate**.
- **Components of Minimum Wages:** Basic wage + DA + HRA (varies by state).

Exam Pointer: Overtime = **double rate**.

3. Payment of Bonus Act, 1965

Objective: To ensure workers share in the profits of establishments.

Key Provisions:

- **Applicability:** Establishments with **20+ employees**.
- **Eligibility:** Employees earning $\leq ₹21,000/\text{month}$.
- **Bonus Rate:**
 - Minimum = **8.33%** of salary/wages.
 - Maximum = **20%** of salary/wages.
- **Salary Ceiling for Calculation:** ₹7,000/month or minimum wage (whichever higher).
- **“Set on” and “Set off”:** Profit adjustments across years.

Exam Pointer: Minimum bonus = **8.33%**, maximum = **20%**.

4. Employees' State Insurance (ESI) Act, 1948

Objective: To provide **medical, sickness, maternity, and disability benefits** to workers.

Key Provisions:

- **Applicability:** Establishments with **10+ employees** earning $\leq ₹21,000/\text{month}$.
- **Contributions:**
 - Employer = **3.25%** of wages.
 - Employee = **0.75%** of wages.
- **Benefits Covered:**
 - Medical care (for employee + family).
 - Sickness benefit (70% of wages for 91 days).
 - Maternity benefit (26 weeks leave).
 - Disability & dependents' pension.

Exam Pointer: Employer contribution = **3.25%**, employee = **0.75%**.

5. Employees' Provident Fund (EPF) Act, 1952

Objective: To provide **retirement savings, pension, and life insurance** to employees.

Key Provisions:

- **Applicability:** Establishments with **20+ workers**.
- **Contribution Rates:**
 - Employer = **12% of basic + DA**.
 - Employee = **12% of basic + DA**.
- **Schemes Under EPF Act:**
 - Provident Fund (PF).
 - Pension Scheme (EPS).
 - Deposit Linked Insurance (EDLI).

Exam Pointer: Both employer & employee contribute **12%** each.

6. Maternity Benefit Act, 1961

Objective: To safeguard women employees during maternity.

Key Provisions:

- **Applicability:** Establishments with **10+ employees**.
- **Leave Entitlement:**
 - 26 weeks paid leave (if ≤ 2 surviving children).
 - 12 weeks otherwise.
- **Other Benefits:** Nursing breaks, prohibition on dismissal during maternity.
- **Adoption/Surrogacy:** 12 weeks leave for adopting mothers of a child ≤ 3 months old.

Exam Pointer: Maximum leave = **26 weeks**.

7. Payment of Gratuity Act, 1972

Objective: To provide **lump-sum retirement benefit** to employees.

Key Provisions:

- **Applicability:** Establishments with **10+ workers**.
- **Eligibility:** Employee must complete **5 years of continuous service** (except death/disability cases).
- **Formula:**

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$$\text{Gratuity} = \frac{15}{26} \times \text{Last Drawn Salary} \times \text{Years of Service}$$

- **Maximum Limit:** ₹20 lakh.

Exam Pointer: Minimum service = **5 years**.

8. Industrial Disputes Act, 1947

Objective: To provide mechanisms for **settlement of disputes** between employers and workers.

Key Provisions:

- **Authorities:** Works Committee, Conciliation Officer, Labour Courts, Industrial Tribunals.
- **Retrenchment Compensation:** 15 days' wages per completed year of service.
- **Strike/Lockout Rules:** 14-day notice required in public utility services.
- **Lay-off Compensation:** 50% wages during lay-off.

Exam Pointer: Retrenchment compensation = **15 days' wages per year**.

Summary :

The most **important old labour laws** for exam preparation are:

- **Wage-related:** Payment of Wages, Minimum Wages, Bonus.
- **Social Security:** ESI, EPF, Gratuity, Maternity.
- **Industrial Relations:** Industrial Disputes Act.

These Acts provide the **foundation** for the **new Labour Codes**, so UPSC may test both **direct provisions** (time limits, percentages, thresholds) and **comparisons** with the Codes.

Chapter 6 Important Old Acts and their Merger into New Labour Codes

1. Code on Wages, 2019

Subsumed Acts (4):

1. **Payment of Wages Act, 1936** → Ensuring **timely wage payment** for all employees.
2. **Minimum Wages Act, 1948** → Now applicable to **all employments** (not just scheduled).
3. **Payment of Bonus Act, 1965** → Bonus provisions retained.
4. **Equal Remuneration Act, 1976** → Gender equality in wages continued.

Key Change: Uniform definition of wages + National Floor Wage.

2. Industrial Relations Code, 2020

Subsumed Acts (3):

1. **Trade Unions Act, 1926** → Recognition of single negotiating union (51%).
 2. **Industrial Employment (Standing Orders) Act, 1946** → Threshold raised to **300 workers**.
 3. **Industrial Disputes Act, 1947** → Streamlined dispute settlement, strike/lockout rules.
 4. **Key Change:** Threshold for retrenchment/closure approval = **300 workers** (earlier 100).
-

3. Code on Social Security, 2020

Subsumed Acts (9):

1. **Employees' Compensation Act, 1923** → Injury/death compensation retained.
2. **Employees' State Insurance Act, 1948** → Medical + sickness + maternity benefits.
3. **EPF Act, 1952** → Provident Fund, Pension, Insurance schemes continued.
4. **Maternity Benefit Act, 1961** → 26 weeks' leave preserved.

5. **Payment of Gratuity Act, 1972** → Fixed-term employees eligible after 1 year.
6. **Cine Workers' Welfare Fund Act, 1981**
7. **Building and Other Construction Workers Cess Act, 1996**
8. **Unorganized Workers' Social Security Act, 2008**
9. **Employment Exchanges (Compulsory Notification) Act, 1959**

Key Change: Unorganized, gig, and platform workers included + Aadhaar-based universal registration.

4. Occupational Safety, Health & Working Conditions (OSHWC) Code, 2020

Subsumed Acts (13):

1. **Factories Act, 1948** → Safety + working hours standardized.
2. **Mines Act, 1952**
3. **Plantations Labour Act, 1951**
4. **Contract Labour Act, 1970** → Now under single license system.
5. **Inter-State Migrant Workmen Act, 1979** → Expanded to cover migrants earning ≤ ₹18,000/month.
6. **Dock Workers (Safety, Health & Welfare) Act, 1986**
7. **Cinematograph Workers Act, 1981**
8. **Working Journalists & Newspaper Employees Act, 1955**
9. **Motor Transport Workers Act, 1961**
10. **Sales Promotion Employees Act, 1976**
11. **Beedi & Cigar Workers Act, 1966**
12. **Contract Labour (Regulation) Rules under CLRA**
13. **Other small safety Acts**

Key Change: Single license for factory + contract + migrant labour, women allowed in night shifts, max 8 hours/day, 48 hours/week.

Quick Reference Table (Exam Revision)

Old Act	Merged Into	New Code
Payment of Wages Act, 1936	✓	Code on Wages (2019)
Minimum Wages Act, 1948	✓	Code on Wages (2019)

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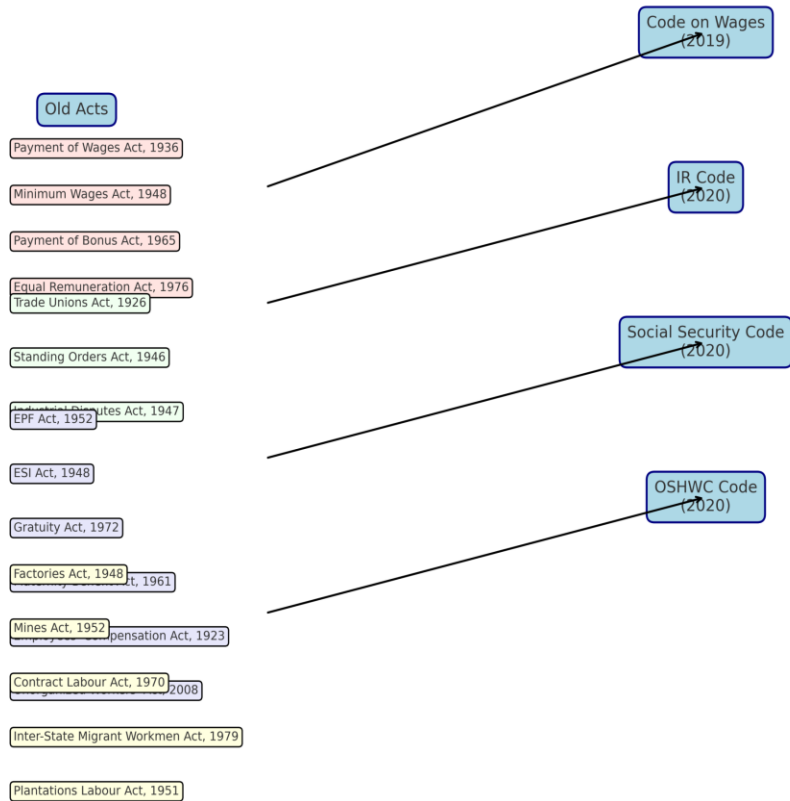
Old Act	Merged Into	New Code
Payment of Bonus Act, 1965	✓	Code on Wages (2019)
Equal Remuneration Act, 1976	✓	Code on Wages (2019)
Trade Unions Act, 1926	✓	IR Code (2020)
Standing Orders Act, 1946	✓	IR Code (2020)
Industrial Disputes Act, 1947	✓	IR Code (2020)
EPF Act, 1952	✓	Social Security Code (2020)
ESI Act, 1948	✓	Social Security Code (2020)
Gratuity Act, 1972	✓	Social Security Code (2020)
Maternity Benefit Act, 1961	✓	Social Security Code (2020)
Employees' Compensation Act, 1923	✓	Social Security Code (2020)
Factories Act, 1948	✓	OSHC Code (2020)
Mines Act, 1952	✓	OSHC Code (2020)
Contract Labour Act, 1970	✓	OSHC Code (2020)
Inter-State Migrant Workers Act, 1979	✓	OSHC Code (2020)

Summary

- **29 Acts → 4 Codes.**
- Wage laws (4), IR laws (3), Social Security laws (9), OSHWC laws (13).
- Key reforms = **uniform wage definition, National Floor Wage, gig workers' coverage, single licensing, women in night shifts, digital compliance.**

Labour Laws Codes & Social security

Mapping of Old Labour Acts → New Labour Codes



Relevance of Labour Laws & Codes for UPSC EPFO Exam

The **UPSC EPFO Enforcement Officer/Accounts Officer Exam** places heavy emphasis on **Labour Laws**, both old and new. A clear understanding of provisions, differences, and recent reforms is essential for answering **MCQs, descriptive questions, and enforcement case scenarios**.

5.1 Why Labour Laws are Important for EPFO

- **Core Job Role:** EPFO officers deal with **compliance, enforcement, and interpretation of labour laws** in real cases.
- **Exam Syllabus:** Labour laws and social security are **explicitly mentioned** in the syllabus.
- **PYQ Trend:** Many previous year questions are directly based on Acts like Payment of Wages Act, Minimum Wages Act, EPF Act, and Industrial Disputes Act.

Thus, mastery of both **old Acts (for historical/legal understanding)** and **new Codes (for current affairs & reforms)** is essential.

5.2 Previous Year Question Trends

1. **Payment of Wages Act, 1936**
 - Time limits for wage payment.
 - Maximum percentage of permissible deductions.
2. **Minimum Wages Act, 1948**
 - Applicability (scheduled employments).
 - Overtime wage rate (2x).
3. **Bonus Act, 1965**
 - Eligibility criteria (₹21,000 ceiling).
 - Minimum bonus percentage (8.33%).
4. **Gratuity Act, 1972**
 - Formula for gratuity.
 - Maximum ceiling (₹20 lakh).
5. **EPF Act, 1952 & ESI Act, 1948**
 - Contribution rates (12% for EPF, 3.25% employer + 0.75% employee for ESI).

- Coverage (20+ employees for EPF, 10+ for ESI).
- 6. **Industrial Disputes Act, 1947**
 - Definition of retrenchment.
 - Retrenchment compensation formula.
 - Strike notice requirements.
- 7. **New Labour Codes (2019–2020)**
 - Uniform definition of wages.
 - National Floor Wage.
 - Social security for gig/platform workers.
 - Standing Orders threshold (300 workers).
 - Women allowed in night shifts under OSHWC.

5.3 Types of Questions in EPFO

1. **Factual/Memory-Based MCQs:**
 - Example: *Maximum bonus payable under the Payment of Bonus Act is...?* (Ans: 20%).
2. **Conceptual MCQs:**
 - Example: *Which labour code extends social security to gig and platform workers?* (Ans: Social Security Code, 2020).
3. **Analytical/Comparative:**
 - Example: *How does the Code on Wages differ from the Minimum Wages Act, 1948?*
4. **Case-Based Questions:**
 - Example: *An employee earning ₹25,000/month is denied bonus by his employer. Is he covered under the Payment of Bonus Act?* (Ans: No, eligibility capped at ₹21,000).

5.4 Preparation Strategy

- **Step 1: Master Old Acts**
 - Learn definitions, applicability, thresholds (₹ limits, no. of employees, time limits).
 - Focus on Payment of Wages, Minimum Wages, Bonus, Gratuity, EPF, ESI, and Industrial Disputes Acts.
- **Step 2: Focus on New Labour Codes**
 - Learn which Acts are subsumed under each Code.
 - Memorize new features: uniform definition of wages, National Floor Wage, Standing Orders threshold, gig worker coverage.

- **Step 3: Make Comparison Tables**
 - Old vs New laws (coverage, wage definition, compliance, social security).
 - Helps in quick revision and tackling analytical questions.
 - **Step 4: Practice PYQs & Mock MCQs**
 - EPFO past papers.
 - Practice numerical questions (e.g., gratuity calculation, retrenchment compensation).
 - **Step 5: Revise Constitutional Provisions**
 - Labour laws are linked to **Directive Principles of State Policy** (Articles 38, 39, 41–43).
 - Fundamental Rights (Article 19(1)(c) – right to form associations).
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5.5 High-Yield Quick Facts for EPFO

- Time limit for wage payment: **7/10 days**.
 - Bonus eligibility: **≤ ₹21,000/month salary**.
 - Overtime: **2x ordinary rate**.
 - Gratuity: **15 days' wages × years of service**; minimum 5 years.
 - EPF applicability: **20+ employees**; contribution = **12% each (employer & employee)**.
 - ESI applicability: **10+ employees**; contribution = **3.25% employer + 0.75% employee**.
 - Standing Orders: **300 workers** under IR Code.
 - National Floor Wage: Introduced under **Code on Wages**.
 - Gig/Platform workers covered under **Social Security Code**.
 - Women allowed in night shifts under **OSHC Code**.
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Summary:

Labour laws form the **backbone of the EPFO syllabus**. Questions are asked from **old Acts for factual clarity** and **new Codes for current relevance**. A combined study approach – **Acts + Codes + Constitution + PYQs** – is the key to scoring well in this section.